

conservatism and the *representative heuristic*, the latter referring to the fact that people tend to see patterns in random sequences. Certainly, it would be to an investor's advantage to see patterns in financial data, if they were really there.

Unfortunately, investors are often too quick to see patterns that aren't genuine features of the data. In reality, long-run changes in company earnings follow a fairly random pattern. However, when people see a company's earnings go up several years in a row, they believe they have spotted a trend and think that it is going to continue. Such excessive optimism pushes prices too high and produces effects that support Barberis and Vishny's theory of overreaction. There are also well-known biases in human information processing that would predict underreaction to new pieces of information. One such bias, conservatism, states that once individuals have formed an impression, they are slow to change that impression in the face of new evidence. This corresponds directly to underreaction to news. Investors remain skeptical about new information and only gradually update their views.

DIAGNOSTIC TESTING

The following diagnostic quiz can help to detect elements of conservatism bias.

Conservatism Bias Test

Question 1: Suppose that you live in Baltimore, Maryland, and you make a forecast such as, "I think it will be a snowy winter this year." Furthermore, suppose that, by mid-February, you realize that no snow has fallen. What is your natural reaction to this information?

- a. There's still time to get a lot of snow, so my forecast is probably correct.
- b. There still may be time for some snow, but I may have erred in my forecast.
- c. My experience tells me that my forecast was probably incorrect. Most of the winter has elapsed; therefore, the cumulative amount of snow is not likely to be significant.

Question 2: When you recently hear news that has potentially negative implications for the price of an investment you own, what is your natural reaction to this information?

- a. I tend to ignore the information. Because I have already made the investment, I've already determined that the company will be successful.